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Tech Trumps Tariffs: US Exceptionalism and the AI Productivity Boom

HUDSON BAY RESEARCH

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Hudson Bay Capital is an alternative asset manager delivering absolute return alpha across asset classes and regions, including the Flagship multi-strategy fund. Hudson Bay's Holistic Investing approach emphasizes independent thinking, including considering a wide range of analyses and insights. The following piece seeks to identify compelling investment opportunities and share macro insights; designed to complement and inform our absolute return strategy. It does not necessarily reflect the view of Hudson Bay Capital and is subject to change at any time.

Executive Summary

While the consensus market outlook since the April 2nd "Liberation Day" tariff shock has been pessimistic about the US economic outlook, this pessimism ignores how market discipline, institutional guardrails, and the scale of AI-led investment — spanning advanced semiconductors, automation, and the data-center build-out — are likely to outweigh any stagflationary drag.

AI can be a positive supply shock that outweighs stagflationary headwinds, lifting potential growth even as inflation pressures ease.

My former Hudson Bay colleague Stephen Miran's *User Guide to Restructuring the Global Trading System* offered an influential early defense of tariffs as part of a broader policy toolkit, arguing that their costs were overstated when viewed through the lens of fiscal and monetary coordination and other pro-growth policies. I take a more cautious view that tariffs remain a blunt and distortionary instrument. Miran's framework usefully explains why markets may have over-penalized their introduction.

Certainly, some policies — such as tariffs, stringent migration restrictions, and any encroachment on Federal Reserve independence — carry stagflationary risk that could have negative economic and market impacts[2]. But Miran's argument serves as a valuable counterweight to the prevailing gloom, reminding us that the combination of institutional guardrails, pragmatic policy advice, and AI-driven productivity may still leave the economy's medium-term growth path intact; indeed "tech trumps tariffs". On this trajectory of higher potential growth, US exceptionalism strengthens rather than fades; equity valuations need not rest on bubble dynamics and should deliver solid returns despite episodic volatility, while some credit events are idiosyncratic rather than systemic; higher trend growth improves public- and external-debt sustainability even as a capex boom widens the current-account deficit; and the dollar's reserve-currency role endures, with near-term weakness likely to give way to medium-term support as productivity and potential growth accelerate[3, 4].

This does not preclude periods of instability along the way. Among other risks, the dual-use nature of the technology and the rivalry between the United States and China over AI supremacy could intensify geopolitical instability. Understanding and containing these risks is essential for investors and policymakers to maximize benefits and minimize tail risks. But over the medium to long term, compounding technology tailwinds are first order.

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1 Miran, Stephen — *A User's Guide to Restructuring the Global Trading System* (Hudson Bay Capital, November 2024) — argues tariff-led restructuring can be made more efficient when coordinated with fiscal/monetary policy. https://www.hudsonbaycapital.com/documents/FG/hudsonbay/research/638199_A_Users_Guide_to_Restructuring_the_Global_Trading_System.pdf

2 Federal Reserve — Summary of Economic Projections (March 2025) — benchmarks for growth, inflation, and longer-run rates used to anchor policy expectations. https://www.federalreserve.gov/monetarypolicy/fomcprojtabl20250319.htm

3 U.S. Bureau of Economic Analysis — National Income and Product Accounts (NIPA) — official real GDP levels, components, and growth rates. https://www.bea.gov/data/national

4 U.S. Bureau of Economic Analysis — International Transactions Accounts — current-account balance, composition, and financing detail. https://www.bea.gov/data/intl-trade-investment/international-transactions

Contents

I). News of the Death of US Exceptionalism is Overrated as Technological Tailwinds are Stronger than Stagflationary Policy Headwinds

The reelection of President Donald Trump initially led to a stock market rally, reflecting the view that a pro-business administration — favoring tax relief and a reduced regulatory burden — would benefit the economy and markets. The current policy agenda is notably more pro-business than its immediate predecessor, with several elements that could, over time, raise growth and reduce inflation.

First, a more predictable pro-investment stance can lift capital spending, employment, and business activity (including mergers and acquisitions). Second, making the 2017 tax cuts permanent — lowering taxes on labor, capital, and the corporate sector — will be positive for growth if credibly financed. Third, after the Global Financial Crisis, regulatory intensity increased across finance, environmental policy, and other areas; a calibrated swing back toward the center could raise potential growth and, by increasing competition, help restrain inflation.

Fourth, if the administration achieves its goal of lowering energy costs through a combination of deregulation and increased production, inflation would dampen and attract energy-intensive industries, including data centers. Fifth, while cutting federal spending by $1–2 trillion is unrealistic, a durable reduction on the order of $300 billion (≈1% of gross domestic product) is realistic and desirable given evident waste, including in defense procurement. Sixth, US policy — including a supportive posture toward artificial intelligence and other technologies of the future — should help maintain the nation's technological edge and leadership in new industries.

This initially justified optimism was challenged by the April 2nd announcement of an aggressive agenda of tariffs and protectionist policies. After this "Liberation Day," the conventional wisdom about the US economy turned more pessimistic about both the short-term and the medium- to long-term outlook.

This new pessimistic consensus rests on several claims:

- High tariffs and protectionism will cause a US and global recession.
- US exceptionalism is over, as stagflationary policies will damage growth and markets.
- US equity markets are in a bubble and bound to crash given valuations far above fundamentals and economic weakness ahead.
- Twin fiscal and current-account deficits leading to rising public and external debt will prove unsustainable.
- The dollar's exorbitant privilege as the leading reserve currency will erode sharply.
- The dollar will weaken significantly as policy damages growth and raises risk premia for US assets.

In this paper I argue that this pessimistic conventional wisdom is incorrect.

Market discipline and institutional guardrails imply a temporary slowdown, not an outright recession. US exceptionalism is intact: AI-led innovation is likely to lift potential growth and preserve leadership. If potential growth accelerates, US equities are not in a persistent bubble. Faster potential growth makes fiscal deficits and the debt-to-GDP ratio more sustainable as the denominator grows more quickly. If US exceptionalism accelerates, the dollar's reserve-currency privilege should persist, with the US dollar remaining dominant and China, at best, eventually in second place[5]. While the dollar has recently weakened amid policy noise and uncertainty, faster US growth should, over the medium term, attract equity inflows that support the currency despite a persistent sizable current-account deficit.

5 International Monetary Fund — World Economic Outlook (October 2025) — comparative medium-term growth projections and global outlook. https://www.imf.org/en/Publications/WEO.

Market discipline and institutional guardrails limit stagflationary policy risks; over the medium term, technology tailwinds dominate.

The US may still face cyclical slowdowns or market corrections, particularly in high-valuation technology segments, and it may see bouts of dollar weakness or higher long-term yields. But, given the analysis below, deep pessimism about medium term US growth and returns is unwarranted. Some stagflationary policies present headwinds, yet their effects are second order relative to the first-order gains from technological innovation. In short, "tech trumps tariffs": the growth impulse from technology outweighs the drag from protectionism and other inflationary policies. Over time, policy measures that encourage investment and productivity should reinforce this positive trajectory.

While Some US Policies Are Partially Stagflationary, Guardrails Remain

Certainly, some policy proposals — if fully implemented — would justify a more stagflationary outlook (lower growth, higher inflation). These include tariff hikes and trade wars; tighter migration rules and large-scale deportations; sustained unfunded fiscal deficits; interference with Federal Reserve independence; ideas such as a "Mar-a-Lago" accord to weaken the dollar and tax capital inflows; risks to the rule of law; and restrictions on foreign researchers and students as well as reductions in funding for scientific research. Many of these stagflationary risks match the "megathreats" that I addressed in my 2022 book of the same title: backlash against hyper-globalization worsened by a geopolitical depression; high levels of private and public debts that may lead to debt crises or higher inflation if debts are monetized; if "fiscal dominance" emerges when central banks become less independent; the impacts of climate change and global pandemics; and the backlash against liberal democracy given rising economic inequality and insecurity.

While these policies are inflationary and growth-dampening, many others described above pull in the opposite direction. Moreover, four guardrails have become increasingly binding against stagflationary policies: market discipline, Fed independence, strong and market-savvy economic advisors, and a limited Republican majority in Congress.

Market discipline is the most powerful. After the April 2nd tariff announcement, equities fell sharply (the tech-heavy Nasdaq briefly entered bear-market territory), bond yields rose, credit spreads widened — especially in high yield — and the dollar weakened. These moves intensified when President Trump floated removing Fed Chair Jerome Powell, raising fears about Fed independence. The tightening of financial conditions threatened a recession. Yet the market's reaction function — bond, equity, credit, and foreign-exchange vigilantes — pushed the administration toward negotiations and more sensible trade objectives and deals.

Post-announcement tightening in financial conditions raised recession odds; the administration moved toward narrower, negotiable trade objectives in response, which helped cap second-round inflation effects and anchor the Fed's reaction function in the direction of controlling inflationary pressures[2].

Fed independence has also constrained policy. The Fed signaled it would not rush to cut rates if tariffs raised inflation[2], helping anchor expectations. Inside the administration, advisors favoring tariff threats primarily as leverage to achieve lower-barrier trade deals gained the upper hand over more protectionist voices. Meanwhile, Congress and the courts threatened to limit the authority of the president to impose unilateral and possibly illegal trade actions, inducing the administration to take a more constructive approach to trade deals that limited protective tariffs to more reasonable levels. President Trump even argued that escalating to de-escalating was all along his plan, a variant of his "art of the deal" negotiating style.

Given these constraints, the US economy is likely to slow down rather than contract. Tariffs and uncertainty weigh on confidence and real incomes; with core personal consumption expenditures (PCE) inflation around 3.2% by year-end and wage growth moderating, real wage gains are softening. Fourth-quarter real GDP growth in the 1–2% range would constitute a growth recession[3] — positive growth below trend — rather than outright contraction. Because the Fed avoided premature easing, inflation expectations remain anchored, lowering the risk of second-round inflationary effects[2]. In September and October, the Fed began cutting policy rates to reduce the risk that a growth recession turns into a standard recession, with another cut likely this year and two more next year.

This period of sub-trend growth could last a few quarters. But Fed easing, modest fiscal support still in the pipeline, quite easy financial conditions, solid balance sheets for households and firms, and strong AI-driven capital-expenditure tailwinds point to a recovery by mid-2026. In a less likely tail scenario of weaker confidence and more persistent inflation, a short, shallow recession could occur; in that case, the Fed would likely cut faster and deeper, and countercyclical fiscal measures would follow. In the event a short and shallow recession were to occur — not our baseline — equity market corrections are likely, as are some episodic credit events.

II). US Exceptionalism is Not Over but Rather Strengthening Over Time

The US leads — or co-leads — in the technologies that will shape the future. US potential growth can plausibly rise from about 2% today to around 4% by decade's end, and higher thereafter. If, for instance, innovation adds roughly 200 basis points to potential growth while protectionist policies subtract only about 50 bps, then claims of fading US exceptionalism are misplaced; indeed "tech trumps tariffs." The private sector's dynamism, amplified by technology, supports faster growth even amid policy noise.

If AI lifts productivity by even 0.5–1.5 percentage points a year, U.S. potential growth can plausibly move from ~2% toward ~4% over this decade.

Key technologies and industries include: artificial intelligence (AI) and generative AI; machine learning (ML), digital twins, world models and causal ML — with artificial general intelligence (AGI) plausible by 2030[6]; advanced semiconductors; robotics and automation (including humanoid robots and AI agents capable of substituting for both manual and white-collar labor in manufacturing, construction, household services, and a variety of business services); biomedical research and synthetic biology; quantum computing (and its eventual merger with AI); space exploration and commercialization; AI-enabled defense systems (defense tech); agricultural technology (ag-tech); fusion energy (potentially more transformative than renewables for climate mitigation); green tech and geo-engineering; mobility (electric vehicles (EVs), next-generation batteries, and full autonomy); financial technology (fintech), including distributed-ledger technology (DLT) applications; new materials and advanced manufacturing; and cybersecurity with novel cryptography.

China leads in green technology, EVs, batteries, and mobility. The US leads in AI/ML, semiconductors, data centers, advanced biomedical research, quantum computing, fusion, materials science, space, defense tech, cybersecurity, and ag-tech. In fintech, China dominates retail payments, while the US leads in insurance technology, asset management, and peer-to-peer lending; US support for DLT could extend that lead. In humanoid robotics, the two are roughly neck-and-neck, with China ahead in consumer-facing products.

While the AI sprint is ultimatey a two-horse race, US allies contribute critical capabilities. Israel (defense technology, cybersecurity), India (IT services and AI integration), Taiwan and South Korea (semiconductors), Japan (quantum, automation and robotics), and parts of Europe (AI research, quantum, and semiconductor equipment) posesses strengths that largely complement US leadership. But as Doshi and Campbell argue, offsetting China's scale advantages will require deeper coordination and renewed investment in ally relationships[7]. By contrast, China's de facto partners — Russia, North Korea, and Iran — add relatively little to frontier technologies, with only a partial exception in defense-related domains.

The race is not purely zero-sum. Historically, fast followers have prospered by learning from first movers — China's rise in manufacturing is a case in point. Looking ahead, however, first-mover advantages may matter more if growth dynamics become exponential. Earlier waves (including the first internet revolution) produced temporary boosts to growth that faded over time. Today's technology mix could produce compounding gains, with potential growth in 2030 exceeding 2020, and 2040 exceeding 2030. Optimistic scenarios foresee 4% growth by 2030,

6 AI Impacts — 2023 Expert Survey on Progress in AI (April 2023) — expert timelines on AGI/advanced capabilities relevant to productivity paths. https://aiimpacts.org/wp-content/uploads/2023/04/Thousands_of_AI_authors_on_the_future_of_AI.pdf
7 Doshi, Rush, and Kurt M. Campbell — "Underestimating China: Why America Needs a New Strategy of Allied Scale to Offset Beijing's Enduring Advantages," Foreign Affairs (May/June 2025) — allied capacity/coordination advantages vs. China in strategic technologies. https://www.foreignaffairs.com/china/underestimating-china

rising to 6% by 2040 and higher by 2050 as AI progresses toward AGI and, eventually, artificial superintelligence (ASI). Timelines are uncertain, but many leaders view AGI as a matter of “when,” not “if.”

While tech innovations are not a pure zero-sum game, it is clear that the US and China are in a race to “AI Supremacy,” as stressed by authors such as Huttenlocher, Schmidt, and Kissinger in their 2021 book *The Age of AI: And Our Human Future*[8]. Whoever wins the AI race will stand to become not only the dominant economic, financial, and trading power of this century but also the hegemonic geopolitical, military, and security power. Indeed, the Cold War between the US and China is becoming colder, and it could erupt into a hot war over Taiwan.

Compared to the last 30 years, we live in a time of greater geopolitical instability, with rivalry between the US and its friends and allies in Europe and Asia on one side and a group of revisionist powers — including China, Russia, Iran, and North Korea — on the other. AI can worsen this rivalry in a number of ways. First, enemies of the US and West already use information warfare to sow more division within polarized Western societies. Second, cyberwarfare can be used to seriously damage civilian infrastructure on top of military targets. Third, AI — in the form of defense tech and advanced semi-autonomous weapon systems — could enable more virulent forms of kinetic war.

But leaving aside the potential negative geopolitical implications of AI and defense tech, it is clear that the wide range of technologies of the future will sharply increase potential growth in the US and other countries that innnovate or adopt the new technologies.

A plausible path to 4% potential growth by 2030 starts with the Congressional Budget Office’s (CBO) labor-supply growth of roughly 0.8–0.9% per year in the late-2020s and baseline productivity growth around 1.4%. Institutions such as the Organisation for Economic Co-operation and Development (OECD), McKinsey Global Institute, Goldman Sachs, the Federal Reserve Bank of Dallas, and the Wharton School estimate AI-related productivity gains of 0.5–1.5 percentage points annually through this decade [9, 10, 11, 12, 13]. Taking a midpoint (≈1%) and adding a temporary capital-expenditure pulse from data-center build-outs (≈0.6–0.7% of GDP annually) yields a plausible path to ~4%[14].

The data-center and semiconductor capex wave is a transmission mechanism — capital deepening that turns AI from promise into measured output.

There are signs that potential growth already exceeds the Fed’s and CBO’s conservative 1.8% estimate. Real growth averaged roughly 2.8% in 2023–2024 while inflation fell from 2021–2022 peaks. Disinflation driven purely

8 Kissinger, Henry A., Eric Schmidt, and Daniel Huttenlocher — The Age of AI: And Our Human Future (Little, Brown and Company, 2021) — foundational framework on AI’s strategic, economic, and governance implications.
9 McKinsey Global Institute — The Economic Potential of Generative AI (2023; updated 2024) — estimates of AI-driven productivity and GDP-uplift ranges. https://www.mckinsey.com/capabilities/strategy-and-corporate-finance/our-insights/the-economic-potential-of-generative-ai-the-next-productivity-frontier
10 Organisation for Economic Co-operation and Development — The Effects of Generative AI on Productivity, Innovation and Entrepreneurship (2025) — cross-country evidence on productivity channels and labor impacts. https://www.oecd.org/en/publications/the-effects-of-generative-ai-on-productivity-innovation-and-entrepreneurship_b21df222-en.html
11 Goldman Sachs Global Investment Research — “Generative AI Could Raise Global GDP by 7%” (2023) — macro modeling of AI adoption and growth implications. https://www.goldmansachs.com/insights/pages/generative-ai-could-raise-global-gdp-by-7-percent.html
12 Federal Reserve Bank of Dallas — “Advances in AI Will Boost Productivity, Living Standards Over Time” (June 2025) — mechanisms by which AI can lift productivity and interact with inflation. https://www.dallasfed.org/research/economics/2025/0624
13 Knowledge at Wharton — “How AI Could Lift Productivity and GDP Growth” (2024) — academic discussion of plausible productivity ranges and adoption dynamics. https://knowledge.wharton.upenn.edu/article/how-ai-could-lift-productivity-and-gdp-growth/
14 Synergy Research Group — Hyperscale Market Tracker — hyperscale capex, capacity expansion, and regional data-center build-out trends. https://www.srgresearch.com/research/hyperscale-market-tracker

by tight policy would typically coincide with growth below potential. Instead, growth remained well above 1.8%, suggesting potential is rising. Productivity averaged about 0.8% during the 2010–2018 “secular stagnation” period following the GFC, but has averaged around 1.9% since 2019, accelerating to roughly 2.3% in 2024[15]. The investment boom that began in 2023 — much of it AI-related — followed the rapid diffusion of generative AI in late 2022. Hyperscalers have lifted 2025 capital-spending plans from roughly $200 billion to nearly $400 billion and envision trillions in additional AI/data-center investment over the next few years[13]. Corporate earnings remained resilient in the first half of 2025 despite tariff headwinds. Meanwhile, some recent labor-market softness likely reflects substitution of AI tools for labor rather than weakening aggregate demand — a sign of rising productivity.

Taken together, potential growth appears closer to 3% than 2% today, with scope to move toward 4% by decade’s end. While actual growth may average closer to 1% this year because of policy-induced frictions, the long-term drag from protectionism and other stagflationary policies is plausibly about 50 bps — small relative to the first-order technology boost.

A key implication of faster potential growth is lower trend inflation. Productivity gains reduce unit costs, creating a positive supply shock that raises output while lowering prices. Unlike deflation tied to weak demand (e.g., post-crisis deleveraging), supply-driven disinflation can coincide with stronger growth. In the post-COVID environment — marked by negative supply shocks, highly expansionary policy, geopolitical tensions, and partial deglobalization — the balance between stagflationary forces and technology-driven disinflation is decisive. Near term, the former may dominate and may lead to downside risks to a variety of financial assets; over the next few years, the latter should prevail.

Rate implications are nuanced. Higher potential growth pushes up the real neutral federal funds rate and the equilibrium real long rate. But lower inflation from positive supply shocks pull down nominal rates. The net effect on nominal yields is ambiguous; the real component should drift higher while lower inflation pulls in the other direction[2].

15 U.S. Bureau of Labor Statistics — Productivity and Costs: Nonfarm Business Sector — official productivity series; evidence of post-2019 acceleration. https://www.bls.gov/lpc/home.htm

III). The US Stock Market May Not be Overvalued or in a Bubble

If US potential growth rises meaningfully as AI adoption advances, equity valuations need not imply a bubble. Indeed, as a companion paper by Hudson Bay Senior Strategist Jason Cuttler argues, markets may be undervaluing the long-run earnings power embedded in faster productivity growth. If potential growth trends toward ~4% while long rates remain contained by supply-driven disinflation, the "sentiment spread" shifts toward the optimism regime. On that basis, fair value skews toward the upper range in the companion analysis (≈8,500–9,300), with additional upside if EPS tracks productivity.

Specifically, Cuttler replaces crude P/E comparisons with an earnings-yield-minus-bond-yield lens and a historically grounded "sentiment spread" that varies by macro regime. Calibrated to past optimism and chaos regimes, his estimates place S&P 500 fair value around 9,000 in an optimism regime and around 5,200 in a regime given current earnings and long-bond yields. On this basis, today's pricing does not constitute a "bubble" if potential growth accelerates as argued here.

Of course, a variety of factors and shocks could lead to market corrections; but returns to private and public equities will overall remain high if the higher-growth plus optimism regimes emerge. Again, AI and other tech innovations will lead to serious disruption in both private and public markets, with winners and losers among existing firms and new tech start-ups. Creative destruction will imply that idiosyncratic credit and equity shocks will occur as some private and public firms thrive and some are disrupted. But in a higher-growth scenario over the medium term, equity returns will remain high and the risk of systemic debt crises is reduced.

IV). Higher Potential Growth Eases Debt Sustainability Fears

If potential growth trends toward 4%, public and external debts are more likely to stabilize and then decline as a share of GDP. Current CBO projections of rising debt-to-GDP assume potential growth near 1.8%. The CBO's scenario work shows that even a modest rise to roughly 2.3% could stabilize the debt ratio over the next two decades. A fortiori, potential at 3% — let alone 4% — would likely reduce the ratio[16]. Every ~50 basis points increase in sustained potential growth meaningfully improves the projected debt path over a decade, per CBO scenario work[5]. As a result, faster potential growth is a more powerful — and politically feasible — stabilizer than austerity alone.

Two caveats matter. First, the fiscal dividend from higher growth could be squandered if political incentives favor persistent deficits; that is a serious risk both in the US and other advanced economies. Second, the AI boom could produce persistent technological unemployment for some workers, requiring stronger safety nets — such as a universal basic income (UBI) or related policies. Funding such programs without eroding growth via higher fiscal deficits would require tax designs that capture a fair share of the gains accruing to AI-complementary capital and labor. But since funding these schemes with higher taxes is hard, there is a risk that the result is higher fiscal deficits over time. If that were to happen, long nominal and real bond yields could go higher either because of higher sovereign risk or because deficits are monetized ("fiscal dominance") and inflation rises.

Ultimately, permanent technological unemployment without a wider social safety net could exacerbate the populist backlash against liberal democracy and adoption of labor-saving technologies. Unlike horses disrupted and made obsolete by the rise of automobiles, humans can vote and revolt against technologies that lead to permanent tech unemployment[17]. Thus, populist backlash against AI's impact on employment could have serious fiscal consequences that may increase borrowing costs for the public and private sectors, leading to increased risks of credit events; this is a potential matter of concern in a world where private and public debt are already high and rising.

16 Congressional Budget Office — The Long-Term Budget Outlook (2025) — debt-to-GDP projections and alternative scenarios varying productivity/potential growth. https://www.cbo.gov/publication/61187

17 Brynjolfsson, Erik, and Andrew McAfee — "Will Humans Go the Way of Horses? Labor in the Second Machine Age," Foreign Affairs (June 16, 2015) — technological unemployment, distributional effects, and policy responses. https://www.foreignaffairs.com/articles/2015-06-16/will-humans-go-way-horses

V). The Exceptional Privilege of the US Dollar Will Continue

If American exceptionalism persists, the dollar's "exorbitant privilege" role should remain dominant[18]. A secular investment boom would raise the current-account deficit, but structural equity inflows — portfolio and foreign direct investment (FDI) — would finance it, reinforcing the dollar's status[5]. A capex-led current-account deficit financed primarily by equity and FDI — rather than riskier debt — is dollar-supportive over time, especially alongside superior growth[19].

Skeptics cite weaponization risk — the use of sanctions and financial controls — as a catalyst for de-dollarization. Alternatives, however, are constrained. The euro's role is limited by institutional, growth, and fiscal challenges. The British pound and Swiss franc are regional currencies. The Japanese yen is constrained, and Japan has not sought reserve-currency primacy. Gold remains a reserve asset but is no longer a unit of account or medium of exchange. Stablecoins that track the dollar reinforce rather than displace its role[18]. Bitcoin and other crypto-assets may serve as stores of value, but are unlikely to become mainstream units of account or medium of exchange.

The Chinese renminbi (RMB) is the most plausible alternative given China's size and trade role. Yet RMB internationalization faces significant hurdles: capital controls, a managed exchange rate, the need to supply safe assets at scale (often requiring current-account deficits), deep domestic capital markets, and network effects that advantage incumbents. Even proposals for multipolar arrangements — such as special drawing rights that include the RMB — have not displaced the dollar.

A gradual shift toward a more bipolar system is possible as the world fragments into competing blocs. The freezing of Russian foreign-exchange reserves highlighted the political risk of concentrated dollar holdings[19].
Full capital-account openness is not a strict prerequisite for reserve status — during the Gold Exchange Standard, the dollar dominated despite fixed rates and capital controls — and the US itself employs financial restrictions (sanctions, national-security investment reviews) that can lower dollar appeal in some quarters. China could try to press trading partners — including some US-aligned energy exporters in the Gulf Cooperation Council — to invoice or more likely settle a portion of energy trade in RMB and hold more RMB reserves, especially where China is the dominant counterparty.

Triffin's dilemma remains relevant: a reserve issuer that runs persistent current-account deficits accumulates external liabilities that can ultimately erode confidence in its currency. Could a surplus country's currency become a reserve currency? The euro area's experience suggests that, with sufficiently deep local-currency debt markets, it partially can — in principle. China may also evolve toward more domestically driven growth, reducing the structural need for trade surpluses. New tech rails — central bank digital currencies, fintech payment systems (e.g., WeChat Pay, Alipay), bilateral swap lines, and alternatives to SWIFT such as "mBridge" — could facilitate RMB use within a bloc [20].

Even so, any reduction in the dollar's share is likely to be slow and partial. China still needs more flexible exchange-rate policy, meaningful capital-account liberalization, stronger rule of law, deeper capital markets, and a willingness to run external deficits to supply safe assets. Meanwhile, the US is innovating in dollar formats: while a US CBDC is not imminent, policymakers are supporting well-regulated dollar stablecoins (as suggested by the recent GENIUS Act legislation) and exploring tokenized deposits, preserving unit-of-account and payment dominance while limiting banking-system disintermediation[21, 18, 22].

18 Dolan, Mike — "Exorbitant disruption risks undermining US 'privilege'," Reuters (March 13, 2025) — journalistic overview of risks to the United States' external balance-sheet advantages. https://www.reuters.com/markets/asia/exorbitant-disruption-risks-undermining-us-privilege-mike-dolan-2025-03-13/

19 President's Working Group on Financial Markets — Report on Stablecoins (November 2021) — regulatory framework considerations for dollar-denominated stablecoins. https://home.treasury.gov/system/files/136/StableCoinReport_Nov1_508.pdf

20 U.S. Department of the Treasury — Press Release: "Sanctions Against Russia" (March 24, 2022) — illustration of financial-sanctions "weaponization" and reserve-management implications. https://home.treasury.gov/news/press-releases/jy0682

21 Bank for International Settlements Innovation Hub — Project mBridge — cross-border wholesale CBDC payment rails and pilot results. https://www.bis.org/about/bisih/topics/cbdc/mcbdc_bridge.htm

22 US Congress — GENIUS Act — legislative proposal to establish a regime for regulated dollar stablecoins. https://www.congress.gov/bill/119th-congress/senate-bill/394/

VI). Downside Risks to the US Dollar will Remain Contained

Capital inflows supporting the US investment boom should limit downside risks to the dollar and may strengthen it over time. The dollar has weakened by roughly 10% this year on a trade-weighted basis, reflecting twin deficits, prior real overvaluation on purchasing-power-parity and external-balance metrics, policy noise around tariffs, crowded long-dollar positioning, and concerns about rule of law, taxation of foreign investment, and "weaponization" that redirected flows toward the euro, yen, and safe havens such as the Swiss franc[4].

Fixed-income investors have diversified away from US duration amid fiscal concerns and weaponization risk. For a period in 2025, yields rose as the dollar fell — an inversion of the usual correlation. That trend could persist near term. Yet stronger potential growth improves long-run debt sustainability and supports equity returns. Public-market investors and private-market allocators (private equity, venture capital) are likely to continue adding to US exposure if US exceptionalism strengthens. Over time, such equity inflows — alongside foreign direct investment — can counter dollar weakness and, eventually, support appreciation[4].

Consider the dollar/euro rate. The dollar has fallen more than 10% against the euro this year. If the US grows at 3–4% over time while the euro area's potential remains near 1%, the equilibrium real exchange rate should imply dollar appreciation over the medium term. Short-term weakness can therefore coexist with a medium-term strengthening path[5].

Conclusion: The US will Survive and Thrive

The US is well positioned for the remainder of this decade. Some policies are potentially stagflationary and may weigh on growth while lifting inflation; others promote investment, growth, and disinflation. More fundamentally, the US remains at the center of a technology-driven positive supply shock that raises growth and lowers inflation over time.

Over the medium to long term, the positive impulse from technology is likely to exceed, by a wide margin, the drag from protectionist and other inflationary policies. Still, technological disruptions and geopolitical instability may lead to bouts of market uncertainty and volatility. Policymakers should guard against the cumulative costs of harmful measures, but market discipline and institutional guardrails have proven effective at steering policy toward more sustainable outcomes. Taken together, the macro evidence here and the regime-based valuation in Cuttler (2025) point to upside risk underpriced by simple P/E mean-reversion arguments. With those guardrails in place, the growth and disinflation benefits of innovation should drive a long-term boom.

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